

Revenue Doubled. Profit Fell 30%.

Was the trade-off worth it?

A Strategic & Financial Analysis of Suprajit Engineering's Acquisition-Led Expansion

FY21–FY25

Strategically Successful, Financially Incomplete

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Part 1 — The Opening

The paradox.

Between FY21 and FY25, Suprajit Engineering doubled its revenue — from ₹16,409 million to ₹32,770 million. Over the same five years, its profit after tax fell 30.4%, from ₹1,427 million to ₹993 million. A business got twice as big and earned a third less. That contradiction is the subject of this report.

The company, briefly.

Suprajit is an Indian automotive-components manufacturer that entered FY21 as a predominantly domestic business. Through acquisition-led expansion — most significantly Kongsberg Automotive's Light Duty Cable (LDC) business — it transformed into a majority-international enterprise, with international revenue rising from 39.7% to 51.8% of the total.

The strategic question.

Management traded short-term profitability for scale and diversification. The question this report answers is the one any board, investor, or acquirer would ask:

Did management sacrifice profitability to build a stronger company — and was that trade-off justified?

The verdict, up front.

The expansion succeeded strategically and remains incomplete financially. Suprajit is now larger, more diversified, and structurally stronger than it was in FY21. But the financial payoff — margin recovery and shareholder returns — has only begun to appear by FY25. Strategically successful, financially incomplete.

How the report gets there — five questions, five chapters:

1. Did expansion make Suprajit bigger and different — not just larger, but structurally reshaped? (Ch 1)
2. Why did margins break despite that growth? (Ch 2)
3. Why did profit fall while EBITDA rose? (Ch 3 — the paradox)
4. Was the trade-off worth it? (Ch 4)
5. Has the payoff started? (Ch 5)

Methodology, data sources, and analytical assumptions are detailed in the Appendix.

Part 2 — Business Context

The expansion catalyst.

The defining event of the period was the acquisition of Kongsberg Automotive's Light Duty Cable business, later folded into the Suprajit Controls Systems (SCS) division. It delivered an immediate international manufacturing footprint, deeper global-OEM relationships, and accelerated access to North American and European markets — but it also forced the company to absorb integration costs and run a far larger, more complex cross-border operation.

Management's intent.

Leadership was explicit and consistent: reduce single-market dependence, expand global customer access, increase scale, and build a more resilient revenue base — accepting short-term financial pressure as the price of long-term position. The rest of this report tests whether execution delivered on that intent.

Chapter 1: Bigger, and Different

How expansion reshaped the business

Key Question

Expansion clearly happened — but what did it actually do to Suprajit between FY21 and FY25? Did the company simply get larger, or did it become a structurally different business?

The answer comes in two parts. First, the scale of growth. Then, its shape.

Rung 1 — The business nearly doubled

Exhibit 1.1 — Revenue Growth, FY21–FY25

Fiscal Year	Revenue (₹ Mn)
FY21	16,408.55
FY25	32,769.52
Change	+99.7%

Finding

Suprajit's revenue grew 99.7% in five years — effectively doubling. This was not incremental growth; it was a step-change in the size of the business.

That single fact carries the rest of the report. A company that doubles its top line has, on the face of it, executed one of the hardest things in business. The question that will haunt the next four chapters is why that doubling did not translate into higher profit — but before we ask why growth disappointed, we have to establish, plainly, that the growth was real and large. It was.

Rung 2 — And the growth was disproportionately international

Doubling in size is one thing. Where that growth came from is what makes it strategically interesting.

Exhibit 1.2 — Geographic Revenue Evolution (₹ Mn)

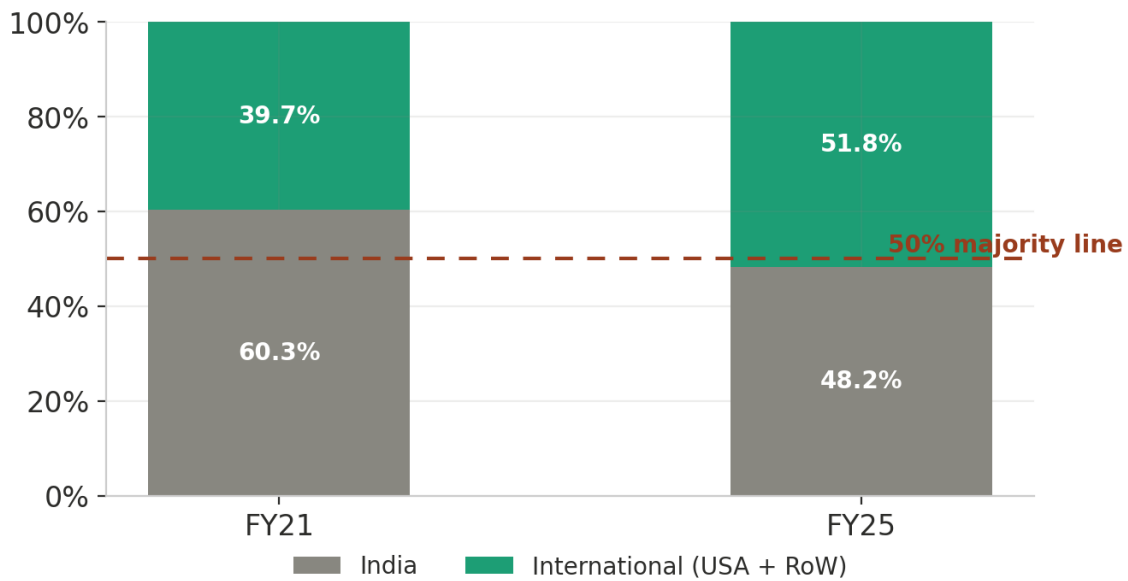
Geography	FY21 Revenue	FY25 Revenue	Growth
India	9,890.04	15,785.83	+59.6%
USA	3,508.31	8,193.83	+133.6%
Rest of World	3,010.20	8,789.86	+192.0%

Exhibit 1.3 — Revenue Mix Shift

Geography	FY21 Mix	FY25 Mix	Change
India	60.3%	48.2%	–12.1 pp
International (USA + RoW)	39.7%	51.8%	+12.1 pp

Chart 1 · Chapter 1

Suprajit crossed from minority to majority international



Finding

India grew a healthy 59.6% — but international markets grew far faster: the USA by 133.6% and Rest of World by 192.0%. Because the growth was so lopsided toward international markets, the composition of the business changed. International revenue crossed from minority to majority, rising from 39.7% to 51.8% of the total.

So Suprajit did not just get bigger. It got bigger in a particular direction.

Interpretation

These two rungs answer the chapter's question together.

The doubling of revenue (Rung 1) establishes that expansion delivered genuine scale — this was a materially larger company by FY25. But scale alone could have been achieved by simply selling more of the same in the same market. That is not what happened. The mix shift (Rung 2) shows the growth was structural: by FY25, for the first time, the majority of Suprajit's revenue originated outside India.

This matters beyond the numbers: for the first time, the majority of Suprajit's revenue came from outside India — a meaningful reduction in single-market dependence whose strategic weight we return to in Chapter 4.

The evidence indicates that international expansion was not a side initiative bolted onto a domestic business. It was the central engine of the company's transformation — driving both how much Suprajit grew and what kind of company it became.

Management Commentary Validation

This is a transformational and marquee acquisition for your Company, giving a true global presence with a comprehensive footprint of manufacturing, warehousing, business development and engineering services to customers across the world.

Validation: Validated. Management framed the LDC acquisition as a move to build a globally diversified business. The revenue-mix shift from 39.7% to 51.8% international is direct evidence that the objective was achieved, not merely stated.

Chapter verdict. Between FY21 and FY25, expansion made Suprajit both bigger and different. It nearly doubled the company's revenue, and it did so disproportionately through international markets — flipping Suprajit from an India-led business to a majority-international one. The result was not just a larger company, but a structurally reshaped one with materially lower geographic concentration risk. Verdict: Management's objective of transforming Suprajit into a larger, globally diversified business was achieved.

Growth, then, is established. The next chapter confronts the uncomfortable part — why all that growth failed to reach the bottom line.

Chapter 2: Why Margins Broke

Growth that didn't reach the operating line

Key Question

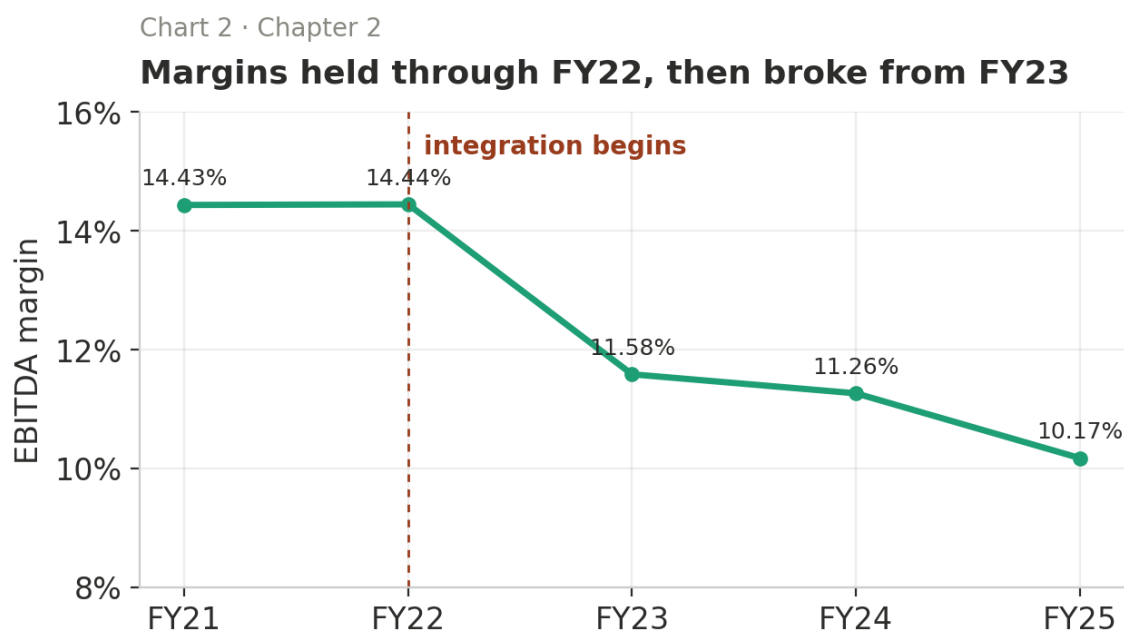
Chapter 1 established that Suprajit nearly doubled in size. This chapter confronts the uncomfortable sequel: if revenue grew almost 100%, why did profitability fail to keep pace?

Revenue growth alone creates nothing for shareholders. Value requires growth to convert into operating leverage — stable or rising margins, not just bigger numbers. So the question is whether Suprajit's expansion produced profitable growth, or whether rising costs quietly absorbed the benefits of scale.

The headline: margins fell as the business doubled

Exhibit 2.1 — EBITDA Margin Evolution

Fiscal Year	Revenue (₹ Mn)	EBITDA (₹ Mn)	EBITDA Margin
FY21	16,408.55	2,367.14	14.43%
FY22	18,404.77	2,657.66	14.44%
FY23	27,523.55	3,187.42	11.58%
FY24	28,958.55	3,259.58	11.26%
FY25	32,769.52	3,333.06	10.17%



Finding

Revenue nearly doubled. EBITDA margin fell from 14.43% to 10.17% — a 426-basis-point decline. Notice when the break happens: margins hold steady through FY22 (14.43% → 14.44%), then drop sharply from FY23 onward. That timing is not random, and it is the first clue to what actually happened.

Interpretation: this was not a demand problem

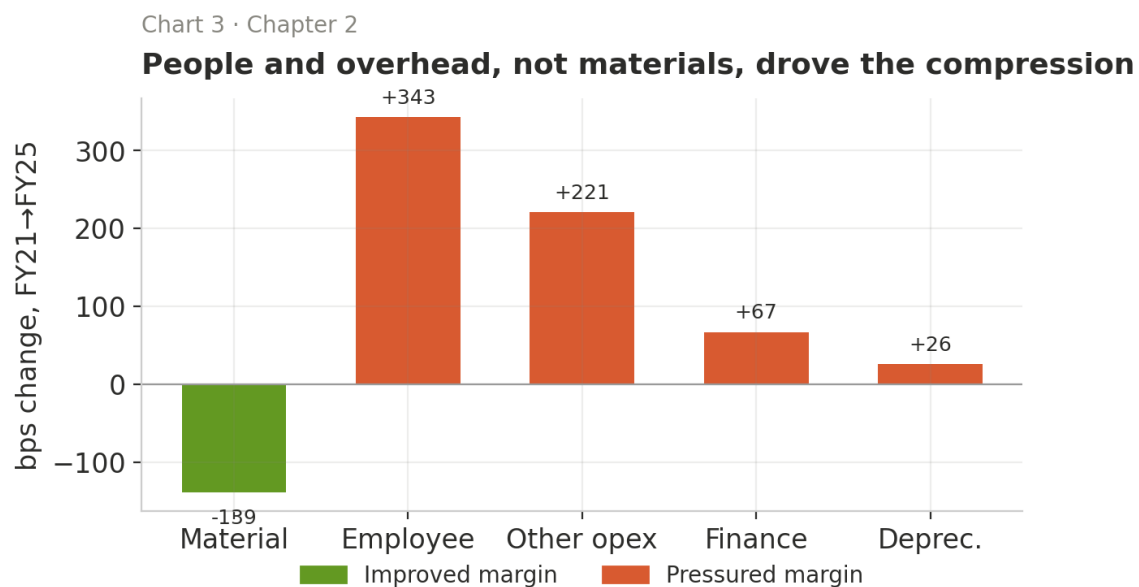
Margin compression has two broad causes — falling revenue, or rising costs. The first is ruled out immediately: revenue expanded every single year. So the benefits of growth were being absorbed by a cost base growing faster than scale could offset.

The question therefore shifts from “did the company grow?” to “which costs ate the growth?”

Where the pressure came from

Exhibit 2.2 — Cost Structure Evolution (% of Revenue)

Metric	FY21	FY25	Change
Material Cost %	58.18%	56.79%	−139 bps
Employee Cost %	18.79%	22.22%	+343 bps
Other Operating Expense %	8.60%	10.81%	+221 bps
Finance Cost %	1.17%	1.84%	+67 bps
Depreciation %	3.46%	3.72%	+26 bps



Finding

Material costs actually improved — down 139 bps, consistent with purchasing scale. The damage came from elsewhere: employee costs (+343 bps) and other operating expenses (+221 bps) together more than wiped out the material-cost gain. These are the costs of running a larger, more complex organization — not the costs of making product.

The interpretation that matters: a mix effect, not an efficiency failure

Here the analysis has to be careful, because the obvious reading is the wrong one.

The obvious reading is: “Suprajit’s costs ballooned, so the core business got less efficient.” That conclusion would be a mistake — and the reason is structural.

A large share of this growth was acquired, not organic. Through the LDC acquisition, Suprajit did not simply sell more of its existing product; it absorbed an entire international business onto its income statement — one with its own employee base, its own overhead, and a lower margin profile while still mid-integration. So the FY25 cost structure is not “FY21 Suprajit, now inefficient.” It is “FY21 Suprajit plus a freshly-acquired, not-yet-optimized international operation,” consolidated into a single P&L.

That distinction changes the meaning of the +343 bps in employee cost entirely. It is far less likely to be evidence that Suprajit’s manufacturing became wasteful, and far more likely to be a mix-and-integration effect — the predictable consequence of bolting on a larger-headcount, lower-margin business and carrying restructuring costs during integration.

One caveat worth stating: the reported financials don’t break costs down by segment finely enough to split this margin decline cleanly into “organic efficiency” versus “acquired mix,” so a precise attribution would be reaching beyond what the data can support. The directional read, though, is well grounded — the timing (compression begins in FY23, as acquired operations consolidate), the category (people and overhead, not materials), and management’s own advance warning all point the same way.

Management Commentary Validation

LDC’s current year operations may have certain short-term margin related pressures, as we restructure, reorganise, regroup, and clean up.

— K. Ajith Kumar Rai, Founder & Chairman, FY22 Annual Report, Page 1

Validation: Validated — and notably, predicted. Management warned investors in FY22, before the compression fully appeared in the numbers, that integrating LDC would pressure margins in the near term. The subsequent rise in employee and operating costs from FY23 onward matches that warning precisely. This is the strongest kind of validation: not management explaining a result after the fact, but management calling it in advance and the data confirming it.

Chapter verdict. Margins broke — that much is not in dispute. EBITDA margin fell 426 bps even as revenue doubled. But why they broke is the point. The compression was not driven by weakening demand or by a core business losing its edge. Material-cost efficiency actually improved. The pressure came from employee and operating costs — the cost of absorbing and integrating a large, acquired, lower-margin international business, exactly as management warned it would. The margin decline, therefore, is better read as the price of transformation than as evidence of a failing business. Whether that price was worth paying is the question Chapters 3 and 4 take up.

Margins fell — but EBITDA still grew. So why, in the next chapter, do we find profit collapsing?

Chapter 3: The Profitability Paradox

When more operating profit produced less shareholder profit

Key Question

By now two facts are established. The business doubled (Chapter 1). Margins thinned, but EBITDA still grew (Chapter 2). Put together, they sound almost benign: a bigger company earning more operating profit than before.

And yet. Between FY21 and FY25, EBITDA rose 40.8% while profit after tax fell 30.4%. Operating earnings and shareholder earnings did not merely diverge — they moved in opposite directions. The company generated meaningfully more operating profit and delivered meaningfully less to its owners.

How?

Exhibit 3.1 — The Profit Conversion Gap

Metric	FY21	FY25	Change
Revenue (₹ Mn)	16,409	32,770	+99.7%
EBITDA (₹ Mn)	2,367	3,333	+40.8%
PAT (₹ Mn)	1,427	993	–30.4%

Finding

Revenue doubled. EBITDA grew by roughly ₹966 million. And yet PAT shrank by roughly ₹434 million. Every line above the operating level says “bigger, stronger.” The bottom line says “weaker.” The entire story of this report lives in the gap between those two facts.

The shape of the fall matters

A glance at the year-by-year path complicates the simple “profit declined” story — and the complication is the key to the whole chapter.

PAT did not erode steadily. It held up, even rose, for most of the period: ₹1,427M in FY21, up to ₹1,731M in FY22, ₹1,521M in FY23, ₹1,673M in FY24 — and then collapsed to ₹993M in FY25. Four years of resilience, then a single-year fall of roughly 40%.

This changes the question entirely. A gradual decline would suggest a business slowly losing its edge. A four-year hold followed by a one-year cliff suggests something else: a specific, concentrated event in FY25 — not a slow structural decay. So the real question is not “why did profit decline over the period?” but the sharper “what happened in FY25?”

Chart 4 · Chapter 3

EBITDA climbed; profit held for years, then fell off a cliff

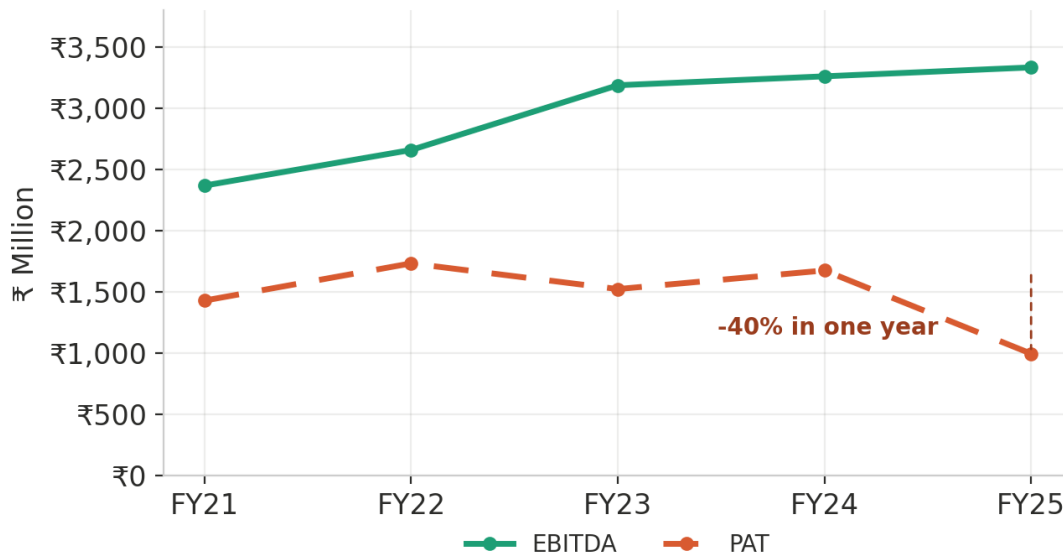
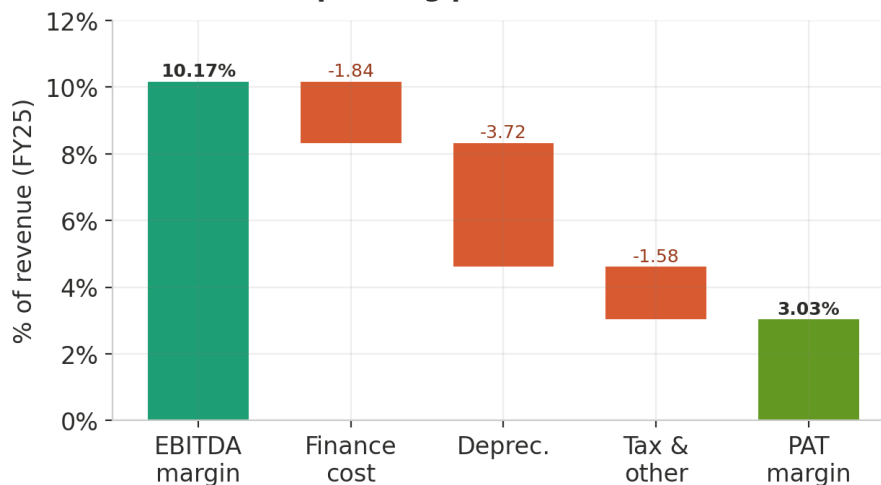


Exhibit 3.2 — Why EBITDA Did Not Become Shareholder Profit

Metric (% of Revenue)	FY21	FY25	Change (bps)
EBITDA Margin	14.43%	10.17%	-426
Finance Cost Margin	1.17%	1.84%	+67
Depreciation Margin	3.46%	3.72%	+26
PAT Margin	8.70%	3.03%	-567

Chart 6 · Chapter 3

Where FY25 operating profit leaked out before reaching shareholders



Finding

PAT margin collapsed by 567 basis points — more than the EBITDA margin fell. Two structural pressures sit beneath the operating line and widened the gap over the period: financing and depreciation. But these are gradual, and they cannot by themselves explain a one-year cliff. For that, we have to look at what specifically landed on the FY25 accounts.

The three structural layers

Before the FY25 event, three ongoing pressures explain the period gap between EBITDA and PAT:

Layer 1 — Thinner operating margins. The 426-bps EBITDA compression from Chapter 2 carries straight through. Less of every rupee survives as operating profit to begin with.

Layer 2 — Higher financing costs (+67 bps). Here the expansion finally lands on the income statement. The LDC acquisition was funded partly by debt, and interest is charged below EBITDA — below the line Chapter 2 measured. That is why the operating story missed it: not because it was small, but because it sits one level down. Buy a business with borrowed money and you carry the interest forever after. This is the cost of an acquired expansion, exactly as Chapter 2 framed it.

Layer 3 — Higher depreciation (+26 bps). A larger, more global asset base depreciates by more each year — again a charge below EBITDA, again a fingerprint of the expansion's scale.

These three explain the gradual part of the gap. They do not explain the FY25 cliff. For that, the consolidated numbers alone are not enough — the answer is in what the company disclosed about FY25 specifically.

What actually happened in FY25

The FY25 results disclosures resolve the cliff, and the resolution sits squarely inside this report's thesis.

The audited FY25 consolidated numbers were loaded with non-recurring items and the drag of a brand-new acquisition. Suprajit's own FY25 results release states the consolidated results carried one-off acquisition expenses for Stahlschmidt Cable Systems (SCS), restructuring costs at SCS and SCD, and one-off customer-receivable write-offs across divisions. None of these are recurring operating costs; they are the accounting of an integration in progress.

The single largest drag was SCS itself — an entity acquired out of German insolvency, mid-restructuring through FY25. On its own it ran an EBITDA of roughly ₹490 million for the year. A freshly-acquired, deliberately-being-turned-around business pulled consolidated profit down by that amount before the rest of the group's performance even entered the picture.

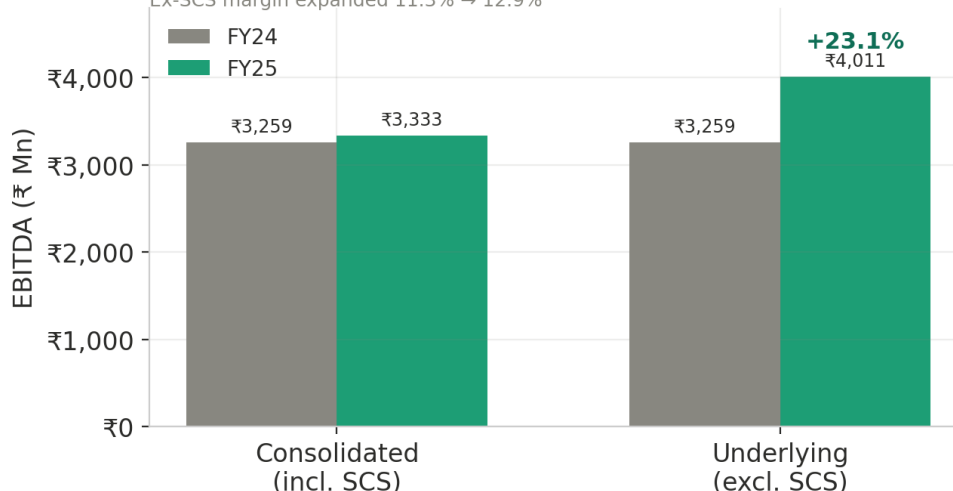
And here is the fact that resolves the paradox. When Suprajit reports its results excluding the SCS acquisition — i.e., the business as it stood before this latest deal — FY25 consolidated EBITDA did not fall at all. It grew from ₹3,259M to ₹4,011M, up 23.1%, with EBITDA margin rising from 11.3% to 12.9%.

Read that against the headline. The headline says profit collapsed 40%. The underlying business, stripped of the one entity it was busy restructuring, grew operating profit 23% and expanded its margin. The collapse was not the business failing. It was the accounting signature of an acquisition mid-integration — precisely the “cost of transformation, not evidence of decline” that this report has argued since Chapter 2.

Chart 5 · Chapter 3 · the keystone

Strip out the distressed acquisition, and the business grew 23%

Ex-SCS margin expanded 11.3% → 12.9%



Management Commentary Validation

The audited consolidated results include one-off expenses relating acquisition related expenses of SCS, restructuring expenses at SCS and SCD, and one-off customer receivables written off... Consolidated EBITDA grew by 23.11%... excluding SCS.

— Suprajit Engineering, Q4 FY25 Results Press Release, 28 May 2025

Validation: Validated, and decisively. The company itself separates operational performance from one-off and acquisition effects — and on that operational basis, FY25 was a year of growth, not collapse. The headline PAT fall reflects the deliberate absorption of a distressed acquisition and associated one-offs, not deterioration in the core business. This is the strongest possible confirmation of the report's central argument: the profit decline is the price of building, not the symptom of failing.

A note on sourcing: this FY25 detail draws on Suprajit's Q4 FY25 results release and its segment-level disclosures, which sit alongside — and go beyond — the FY21–FY25 annual-report dataset underpinning the rest of this report's quantitative analysis. It is included because it directly resolves the central paradox.

Chapter verdict. The profitability paradox is not that growth failed to happen. It plainly did — more revenue, more operating profit, a structurally larger business. The paradox was the FY25 cliff: a 40% fall in headline profit that, on inspection, was overwhelmingly the cost of a single distressed acquisition mid-restructuring plus associated one-off charges. Strip those out, and the underlying business grew operating profit 23% with an expanding margin in the very same year. The structural pressures — thinner margins, acquisition financing, a heavier asset base — are real and ongoing, but they are the predictable economics of acquired growth, not a failing enterprise. A company can absorb a year like FY25 if it is buying something durable in exchange. So the question the next chapter must answer is whether it was.

That is the trade-off Chapter 4 puts on trial.

Chapter 4: Was the Trade-Off Worth It?

Weighing what was surrendered against what was secured

Key Question

Chapter 3 ended on a fork. Falling profit is tolerable if a company is buying something durable in return — and intolerable if it isn't. This chapter decides which one Suprajit was doing.

The honest way to answer is to put both sides on the table at full strength: what the expansion cost, and what it bought. Then weigh them.

The case against: what was surrendered

Start with the side that looks damning, because it deserves to be taken seriously.

Exhibit 4.1 — What Was Surrendered

Metric	FY21	FY25	Change
EBITDA Margin	14.43%	10.17%	–426 bps
PAT Margin	8.70%	3.03%	–567 bps

On the numbers alone, the expansion is hard to defend. Operating margin down 426 bps. Net margin down 567 bps — more than halved. A company that earned 8.7 paise of profit on every revenue rupee in FY21 earned barely 3 paise by FY25. By every conventional measure of business quality — profitability, efficiency, return on revenue — Suprajit looks worse than the company that entered the period. Judged purely as a financial machine, the expansion reads as value destruction dressed up as ambition.

This objection is not a soft target raised only to be knocked down. It is the single strongest case against the strategy, and any verdict that fails to answer it is not worth trusting. But it must be weighed against what Chapter 3 established: a large part of the FY25 low point was one-off — the absorption of a distressed acquisition mid-restructuring and associated non-recurring charges — beneath which the underlying business actually grew operating profit. So part of what looks “surrendered” is temporary and identifiable, not a permanent impairment of earning power. The question, then, is whether the other side of the ledger holds something large enough to outweigh what genuinely was given up.

The case for: what was secured

Profitability measures how well a business performed this year. It says nothing about whether the business is positioned to perform in the years ahead. Those are different questions, and a trade-off can only be judged by answering both.

Exhibit 4.2 — What Was Secured

Strategic Outcome	FY21	FY25
International Revenue Mix	39.7%	51.8%
Geographic Profile	India-led	Globally balanced
Manufacturing Footprint	Limited international presence	Multi-region network

Customer Access	Primarily domestic & regional OEMs	Global OEM & Tier-1 relationships
Business Structure	Largely organic operations	Integrated global platform

Two of these outcomes carry most of the weight.

The capabilities could not have been bought cheaply, or quickly, any other way. The LDC and SCS acquisitions delivered manufacturing, engineering, warehousing, and customer relationships across North America, Europe, and beyond — onshore, nearshore, and low-cost options in a single network. Building that organically would have taken years and capital with no guarantee of the customer access that came pre-attached. The expansion didn't just add revenue; it bought time and position that money alone rarely secures.

And it structurally de-risked the business. Recall what Suprajit was in FY21: an India-led company earning the large majority of its revenue from a single market. A business in that position is fragile in ways its income statement never shows — exposed to one economy's cycles, one industry's slowdowns, one regulatory regime, and a concentrated set of customers, any of which can strike the whole company at once with nowhere else to absorb the blow. That was the quiet risk Suprajit carried into the period. By FY25, with the majority of revenue originating outside India and spread across multiple regions and customer ecosystems, that fragility was materially reduced — a downturn in any single market no longer threatens the entire business. This kind of resilience earns nothing in a single year's PAT; it is insurance, not income. But it is real value, and it is exactly the sort a profitability metric is blind to.

That is the rebuttal to the bear case. Not “the numbers don't matter” — they do — but “the numbers measure only one of the two things that matter, and the other one moved strongly in Suprajit's favor.”

Weighing the two

Exhibit 4.3 — Strategic Value Scorecard

Dimension	Assessment
Revenue Scale	Strong positive
Geographic Diversification	Strong positive
Global Manufacturing Footprint	Strong positive
Customer Access	Moderate positive
Strategic Positioning	Strong positive
EBITDA Margin	Moderate negative
Shareholder Profitability	Strong negative

The scorecard refuses to be tidy, and that is the honest result. This was not a costless triumph, and it was not a disaster — it was a genuine trade. Five dimensions of strategic position moved strongly forward; two dimensions of profitability moved backward, one of them sharply.

The judgment, then, turns on a single question: are the strategic gains durable and the profitability losses temporary — or the reverse? Durable position bought with temporary pain is one of the best trades a company can make. Temporary position bought with permanent impairment is one of the worst.

The evidence leans toward the first. The strategic assets — the global footprint, the diversified base, the customer relationships — are structural and hard to undo. The profitability losses, as Chapter 2 argued, are concentrated in integration and financing costs of a specific, identifiable, recent acquisition — the kind of costs that ease as integration completes and debt amortizes. Leans is the operative word; this is a judgment, not a certainty, and Chapter 5 tests whether the easing has actually begun.

Management Commentary Validation

The pivot to growth has resulted in record new business wins for SCD ... The unique value proposition SCD has been able to provide customers via its global manufacturing, distribution and service footprint has been a key to the success.

— James Gerard Ryan, President, Suprajit Controls Division, FY24 Annual Report, Page 13

Validation: Validated. By FY25, international revenue reached 51.8% of the total, and the operational footprint spanned North America, Europe, China, Morocco, and India. The claim that the acquired platform expanded Suprajit's global presence and won new business is borne out by both the revenue mix and the reported business wins — the strategic assets in Exhibit 4.2 are not aspirational, they are operating.

Chapter verdict. The trade-off was real, and it was not free. Suprajit surrendered a substantial amount of near-term profitability — net margin more than halved — and that cost cannot be waved away. But it was surrendered in exchange for assets that a profit margin cannot capture: a global manufacturing platform, a majority-international revenue base, deep new customer relationships, and a structural reduction in the single-market fragility it carried in FY21. Those gains are durable. The losses, on the evidence, are not — they are concentrated in the integration of a specific, recently-acquired business and in one-off charges, with the underlying operation still growing beneath them. Durable gains bought with temporary, identifiable costs is, on the evidence, the trade that was made. On balance, the trade appears to have been worth making — not because the financial cost was small, but because what was bought with it was larger and more lasting. The expansion looks less like value destroyed and more like value relocated: out of this year's earnings, and into the company's long-term competitive position.

That leaves one final test. A trade-off justified in theory still has to deliver in practice. Has the payoff actually started to show?

Chapter 5: Has the Payoff Started?

Reading FY25 for the first signs of return

Key Question

Chapter 4 reached a verdict in principle: the trade looks worth it if the strategic gains prove durable and the profitability losses prove temporary. That word — if — is what remains. A trade-off justified on paper still has to show up in the results.

So this chapter asks the narrowest, hardest version of the question: by FY25, is there actual evidence that the payoff has begun?

The headline says no

Exhibit 5.1 — FY24 to FY25

Metric	FY24	FY25	Change
Revenue	₹28,959 Mn	₹32,770 Mn	+13.2%
EBITDA	₹3,259 Mn	₹3,333 Mn	+2.3%
EBITDA Margin	11.25%	10.17%	–108 bps
PAT	₹1,175 Mn	₹993 Mn	–15.5%

On the face of it, this is not a turnaround. Revenue kept climbing, but EBITDA barely moved, margin fell another 108 bps, and PAT dropped another 15.5%. Anyone looking only at the consolidated bottom line would conclude the payoff has not started — that FY25 is simply more of the same erosion.

That reading has to be granted before it can be answered. The consolidated financials have not yet turned. Full stop.

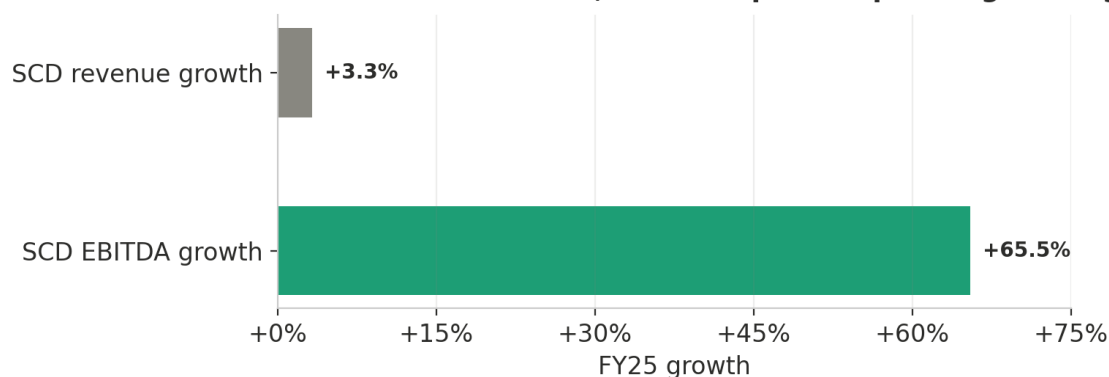
But the headline is the wrong place to look

Here is the reasoning the headline misses. If a payoff from integration were beginning, the last place it would appear is consolidated net profit — because that figure is still absorbing the very integration and financing costs the recovery has to work through. Early recovery shows up first in operating performance inside the platform being integrated, long before it reaches the group bottom line. So the question is not “did PAT recover” — it was never going to, this soon — but “is the underlying platform starting to perform?”

Exhibit 5.2 — Evidence Beneath the Headline

Indicator	FY25 Evidence
International Revenue Mix	51.8% of total revenue
SCD Revenue Growth (FY25)	+3.3%
SCD EBITDA Growth (FY25)	+65.5%
Underlying EBITDA (ex-SCS)	+23.1%, margin 11.3% → 12.9%
SCS Integration Status	Mid-restructuring; one-offs being absorbed
Global Footprint	SCS added Germany, Morocco, Canada, China

Chart 7 · Chapter 5

A little more revenue, far more profit: operating leverage

The Suprajit Controls Division (SCD), the core international platform, grew full-year EBITDA by 65.5% on revenue growth of just 3.3% — the unmistakable signature of operating leverage, as restructuring costs roll off and each rupee of revenue converts to far more profit. More tellingly still: stripping out the distressed SCS acquisition the company was busy absorbing, FY25 underlying consolidated EBITDA grew 23.1% and margin expanded from 11.3% to 12.9%. The platform built through expansion is not merely stabilising — beneath the one-off-laden headline, it is already compounding.

The qualitative turn

There is a second signal, harder to tabulate but telling. Across FY22–FY24, management’s own commentary was dominated by the vocabulary of cost: restructuring, reorganising, integration, clean-up. By FY25, the language shifts to the vocabulary of return: growth, new business wins, synergies, margin improvement. A management team mid-crisis talks about fixing things; a management team past the worst of it talks about winning. That tonal shift, tracked across four annual reports, lines up with the operating evidence rather than contradicting it.

Exhibit 5.3 — Strategic Objective Scorecard

Strategic Objective	Status by FY25
Geographic Diversification	Achieved
Global Manufacturing Footprint	Achieved
Customer Access Expansion	Achieved
Revenue Growth	Achieved
Operational Integration	Largely achieved
Margin Recovery	In progress
Shareholder Return Recovery	In progress

The scorecard captures the chapter, and the whole report, in one frame. Everything structural — diversification, footprint, customers, scale — is achieved. Everything financial — margins, shareholder

returns — is in progress. The strategy has done what it set out to do to the shape of the business; what remains is for that reshaped business to convert into profit.

Management Commentary Validation

Suprajit Controls Division transitioned from integration to growth, delivering 3.25% revenue growth and a 40.3% EBITDA increase, despite market challenges.

— James Gerard Ryan, President, Suprajit Controls Division, FY25 Annual Report, Page 12

Validation: Partially validated. The operating evidence supports the claim that the core international platform improved in FY25 — the SCD EBITDA growth, the completed LDC integration, the continued footprint expansion all point the same way. What is not yet validated is the translation of that operating progress into consolidated profitability: group PAT still fell. The evidence therefore supports a payoff that has begun, not one that is complete — which is precisely the claim, and no more.

Chapter verdict. The payoff has started — but only just, and only where you would expect it to start first. The consolidated financials have not turned: margin and PAT both fell again in FY25. But beneath them, the core international platform is showing the first real signs of operating leverage, integration is reported complete, the footprint is still widening, and management’s own language has shifted from repair to growth. However, the financial payoff remains incomplete at the headline. Underneath it, the evidence is more encouraging than the consolidated PAT suggests — underlying EBITDA growing 23% with expanding margins, and the core international platform compounding. What has not yet arrived is the translation of that underlying strength through the one-offs and integration costs to the reported bottom line. The engine is turning; the headline has not yet caught up.

Strategically successful. Financially incomplete. And, on the evidence of FY25, financially beginning.

The Counterfactual: What Would Suprajit Look Like Without the Expansion?

Why this analysis exists

Every prior chapter measured what did happen. This one asks what would have happened without the international expansion — because a strategy can only be judged against its alternative. If Suprajit could have reached the same position organically, the acquisition bought nothing but trouble. If it could not, the strategic case is made.

Counterfactuals cannot be observed, only estimated. So everything here is a scenario under stated assumptions — and the analysis is built, deliberately, to show how much the conclusion depends on those assumptions, and how much it doesn't.

The one assumption everything rests on — and why it's defensible

The whole analysis turns on a single question: absent the acquisition, how fast would Suprajit's international markets have grown organically?

We use India's FY21–FY25 growth rate (59.6%) as the organic proxy. The justification is not that India and international markets are identical — it's that India is the closest thing available to a control group. India is the same company, same management, same products, same period — but the part of the business that did not receive the acquisition. It is Suprajit-without-the-deal, observed in the real world. No other proxy is as clean.

This is an estimate, not a measurement, and we'll test how sensitive the conclusion is to it rather than asking you to take it on faith.

Three scenarios

Exhibit C.1 — Scenario Construction

Scenario	Assumption for USA & RoW organic growth	Character
A — Conservative	Grow at India's rate (59.6%)	Pure organic, no expansion
B — Moderate (illustrative)	Midpoint between India's rate and actual	A partial-success middle point
C — Actual	Observed FY25 outcome	The benchmark

Scenario B's midpoint is illustrative — included to show the range between organic and actual is continuous, not because the 50% blend is a special number. The robustness test below replaces any reliance on a single chosen scenario.

Exhibit C.2 — Scenario Outcomes

Scenario	Total FY25 Revenue (₹ Mn)	Revenue Gap vs Actual	International Mix
A — Conservative	26,190	–₹6,579 Mn	39.7%
B — Moderate	29,479	–₹3,290 Mn	46.5%
C — Actual	32,770	—	51.8%

Finding

The two counterfactual scenarios share a structural feature that the actual outcome does not: in both, Suprajit remains a minority-international, India-led business. Scenario A leaves it almost exactly where it began in FY21 (39.7%). Even the more generous Scenario B reaches only 46.5% — still short of majority. Only the actual, acquisition-led path crosses 50%.

That is the first sign of the real result: the revenue gap is a number, but the mix outcome looks like a wall the organic scenarios cannot get over.

The robustness test — where the conclusion proves itself

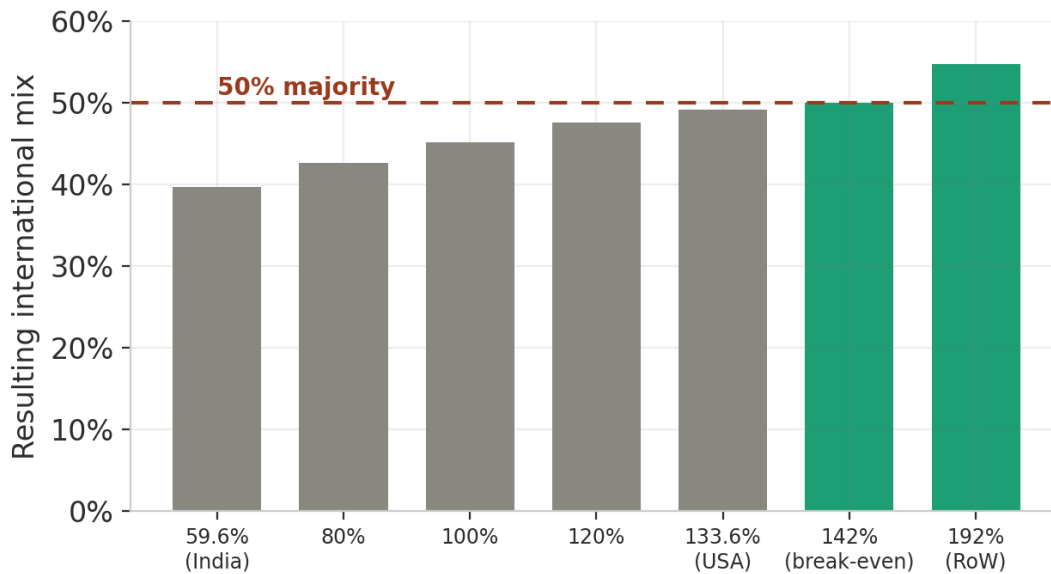
A skeptic's fair challenge: "Your 59.6% proxy is arbitrary. Pick a more optimistic organic rate and your conclusion collapses." So instead of defending one rate, we test the conclusion across the entire plausible range — and watch what happens to the international mix.

Exhibit C.3 — Sensitivity of International Mix to the Organic-Growth Assumption

Assumed organic growth (USA & RoW)	Total FY25 Revenue (₹ Mn)	International Mix	Majority?
59.6% (India's actual — Scenario A)	26,190	39.7%	No
80%	27,519	42.6%	No
100%	28,823	45.2%	No
120%	30,127	47.6%	No
133.6% (USA's actual rate)	31,010	49.1%	No
142.2% — break-even	31,572	50.0%	Threshold
192% (RoW's actual rate)	34,819	54.7%	Yes

Chart 8 · Counterfactual

No plausible organic path reaches majority-international



The finding that matters

Read down the mix column. Across the entire plausible organic range, Suprajit stays a minority-international business. Even if you assume international markets would have organically grown at 100% — nearly double India’s actual rate, an aggressive organic assumption by any standard — the company still only reaches 45.2% international. Even at the USA’s actual observed rate of 133.6%, it reaches just 49.1% — still not a majority.

The business only crosses into majority-international territory at an assumed organic growth of 142.2% — roughly 2.4 times India’s actual growth rate, sustained across both regions for five straight years. For organic growth alone to have diversified Suprajit as much as the acquisition did, both the USA and Rest of World would have had to grow at nearly two-and-a-half times the pace the core business actually managed — without the acquired customers, plants, and relationships that made such growth possible in the first place.

That is not a plausible organic path. And that is the point: the diversification result is not an artifact of one chosen assumption. It holds across every reasonable assumption. You have to reach implausible organic growth before the conclusion even wobbles.

What the analysis deliberately does NOT claim

Exhibit C.4 — Confidence by Dimension

What we’re estimating	Confidence	Why
Strategic direction	High	Directly observable; minimal modeling
Geographic diversification impact	High	Robust across the full sensitivity range
Revenue contribution (the ₹ figure)	Medium	A point estimate within a wide range

EBITDA impact	Low	Cannot model alternative cost structures from disclosures
PAT impact	Low	Same — financing, depreciation, tax not separable

This table is the analysis’s conscience. The revenue gap (₹3,290–6,579 Mn) is offered as a range, not a precise figure, because it is a point estimate sensitive to the growth assumption — medium confidence, honestly labelled. And the profitability counterfactual is not attempted at all. The disclosures do not support estimating what margins, financing, or net profit would have looked like under an alternative history, so the analysis declines to guess. Claiming a counterfactual PAT would be inventing precision that doesn’t exist.

The confidence is concentrated exactly where the evidence is strongest: the structural finding about diversification, which the robustness test shows is near-unbreakable.

A note on what would change this conclusion

Intellectual honesty requires naming the conditions under which the verdict would fail. There are two. First, if a plausible organic path could reach majority-international status — but the robustness test shows the required growth (~2.4x India’s rate) is not plausible. Second, if international growth were largely driven by factors other than the acquisition — but the timing and the acquired-capacity evidence point the other way, and where indirect effects might exist (the acquisition possibly aiding India too), the analysis holds India constant rather than adjust in its own favor. The conclusion is built to survive its own strongest objections.

Counterfactual verdict. Without the expansion, the evidence indicates Suprajit would have remained structurally what it was in FY21: a smaller, India-dependent business with international revenue stuck below 40%. Under plausible organic scenarios its FY25 revenue would have been ₹3,290–6,579 million lower — but that is the lesser finding, and the one held with only medium confidence. The greater finding, and the robust one, is structural: no plausible organic path turns Suprajit into a majority-international company. That transformation required the acquisition. The diversification — the single most durable strategic gain identified anywhere in this report — was not something the company could have grown into on its own within this period.

Where This Goes Next

This analysis answers its question within a deliberate scope — one company, five years, the public disclosures. That scope is also a map of where the work extends.

Watch FY26 to see if the recovery holds. The core finding is that FY25's profit collapse was mostly a distressed acquisition and one-off charges, while the underlying business grew. FY26 is the test: if the ex-SCS momentum continues and SCS itself starts to turn, the “cost of transformation” reading holds; if profit stays depressed without those one-offs, it doesn't. The next year of results will settle it.

Benchmark against peers. This report measures Suprajit against its own history. A stronger test of whether the margin compression was “the cost of transformation” rather than industry-wide pressure would compare it to other auto-component manufacturers over the same period — separating what was Suprajit's strategic choice from what every player in the sector faced.

Go deeper than the public disclosures on the FY25 one-offs. The profit cliff was shown to sit largely below the operating line, in the acquired subsidiaries — but established directionally, not line-by-line. Decomposing it exactly would mean going finer than the disclosures used here: the detailed annual-report notes, future investor presentations, and earnings-call commentary, to pin the precise split between tax, financing, and one-off charges rather than attributing it broadly.

Each of these sharpens, rather than revises, the verdict. The conclusion this report reaches — strategically successful, financially incomplete — is built to be tested by what comes next, not insulated from it.

Analytical Methodology & SQL Validation Framework

Technical appendix — how the findings were built, validated, and made reproducible

What this appendix is for

The chapters present findings. This appendix shows the engine beneath them: how raw annual-report disclosures became a validated dataset, how that dataset was tested before any analysis ran, and how every figure in the report traces back to a specific, reproducible query.

It is written to be inspected, not persuaded by. A reader who wants to check whether the analysis cuts corners should be able to follow the data from source to finding and find no gaps. That is the standard this appendix is held to.

A note on tooling, stated once. This dataset is small — five years across a few geographies — and could be computed by hand. SQL was used not because the scale demanded it, but to demonstrate a reproducible, auditable workflow: the same validate-then-analyse process that scales to datasets where hand-calculation is impossible. The point is the method, shown on a dataset small enough to verify end to end.

The complete, runnable workbook is available as the accompanying `suprajit_analysis.sql` in the project repository. The queries shown below are representative; the file is the full source of truth.

The workflow

The analysis followed one disciplined sequence, and the SQL workbook is organised to match it exactly:

Sourced data → standardised dataset → validated dataset → analytical layer → analysis → findings



Each stage feeds the next, and nothing analytical runs until the validation gate is passed. The workbook's four sections — Schema, Validation Gate, Analytical Layer, Analysis — correspond one-to-one with this sequence, so the document and the .sql file can be read side by side.

Stage 1 — The validation gate

Before any analysis, four checks confirmed the data could be trusted. This ordering is deliberate: validation is a gate, not an afterthought. Because the gate is passed, the analytical queries downstream are written to trust their input — no defensive guards against conditions the validation has already ruled out. That is a deliberate choice, and it is documented in the workbook header.

Check 1 — Completeness. Every required field in both tables tested for NULLs. Result: zero missing values.

Check 2 — Cost-waterfall consistency. Confirmed the expected ordering — Revenue > EBITDA > PAT — held in every year. This confirms the normal cost waterfall held for this dataset (all costs and taxes positive); it is not asserted as a universal accounting law. Result: no violations.

Check 3 — Geographic reconciliation. Confirmed the sum of geographic revenue ties out to reported consolidated revenue, every year. This is the check that matters most for Chapter 1, whose entire argument rests on the geographic split being accurate.

Check 3 — Geographic reconciliation · CTE join

```
WITH geo_total AS (  
    SELECT fiscal_year, SUM(revenue) AS geographic_revenue  
    FROM geographic_revenue  
    GROUP BY fiscal_year  
)  
,  
reported_revenue AS (  
    SELECT fiscal_year, revenue AS total_revenue  
    FROM financial_kpis  
)  
SELECT g.fiscal_year,  
       g.geographic_revenue,  
       r.total_revenue,  
       g.geographic_revenue - r.total_revenue AS difference  
FROM   geo_total g  
JOIN   reported_revenue r ON g.fiscal_year = r.fiscal_year  
ORDER BY g.fiscal_year;
```

Result: difference = 0 for every year. The geographic disclosures reconcile to reported revenue.

Check 4 — Formula validation. Recomputed EBITDA, EBITDA margin, and PAT margin from raw fields to confirm every derived metric is reproducible from source data rather than carried over from a spreadsheet. Result: all derived metrics reproduced cleanly.

Stage 2 — The analytical layer

Rather than querying raw fields repeatedly, the workbook builds a small set of persisted derived tables, each holding one consistent metric definition reused across the analysis:

Table	Holds	Feeds
calculated_kpis	EBITDA, EBITDA margin, PAT margin	Ch 2, 3, 5
cost_structure	Each cost as % of revenue	Ch 2
growth_comparison	EBITDA, Finance Cost, Depreciation, PAT (long format)	Ch 3
revenue_profitability	Revenue growth vs EBITDA margin, year over year	Ch 2, 3
margin_bridge	Basis-point change per cost driver, FY21→FY25	Ch 2

Separating preparation from analysis keeps metric definitions consistent everywhere they're used — EBITDA is defined once, not redefined in each query. At this dataset's scale a single CTE would also work; the layer is materialised to demonstrate the reusable-pipeline pattern, which is the transferable skill.

Stage 3 — The Traceability Matrix

This is the core of the appendix. Every analytical query exists to answer a specific business question, and every report finding traces back to one. Nothing in the report is asserted without a query behind it.

#	Business Question	Query / Method	Report Finding
1	How did revenue split by geography each year?	Geographic split	Geographic base data (Ch 1)
2	How did the international revenue share evolve?	Geographic mix, conditional aggregation	Mix shift 39.7% → 51.8% (Ch 1)
3	How fast did each geography grow?	Growth rates, LAG window function	International outpaced India (Ch 1)
4	How did the cost structure trend?	Cost-as-%-of-revenue	Cost-base shift (Ch 2)
5	Which cost drivers moved most?	Margin bridge, conditional aggregation	Employee cost the main pressure (Ch 2)
6	How did EBITDA, finance cost, depreciation, PAT change?	FY21 vs FY25 comparison	Profit-conversion drivers (Ch 3)
7	Did revenue growth and margin move together or apart?	Revenue-vs-margin join	Growth–margin divergence (Ch 2, 3)
8	Are FY24→FY25 margins showing a turnaround?	Recent-year margin comparison	Early-recovery signal (Ch 5)
9	How sharply did Revenue, EBITDA, PAT diverge?	Divergence analysis	The profitability paradox (Ch 3)
10	Which cost driver had the greatest impact?	RANK window function	Driver prioritisation (Ch 2)
11	Which geography drove the most revenue growth?	Contribution %, SUM() OVER()	International growth contribution (Ch 1, 4)

The matrix is the answer to the only question that matters about the SQL: not “can this person write queries?” but “does this person know why each query exists?” Every row links a question to a method to a finding.

Representative queries

Three queries, chosen to show the range — a window function, conditional aggregation, and a contribution calculation. The full set is in the workbook.

Query 3 — Growth rate by geography · LAG window function

Year-on-year growth per region. FY21 returns NULL by design — the base year has no prior period.

```
WITH growth_calc AS (
  SELECT fiscal_year, geography, year, revenue,
         LAG(revenue) OVER (PARTITION BY geography ORDER BY year)
           AS previous_year_revenue
  FROM geographic_revenue
)
SELECT  fiscal_year, geography, revenue, previous_year_revenue,
        ROUND((revenue - previous_year_revenue) * 100.0
              / previous_year_revenue, 2) AS growth_pct
FROM    growth_calc
ORDER BY geography, fiscal_year;
```

Query 5 — Margin bridge · conditional aggregation

Each cost driver's basis-point move, FY21→FY25 — the query behind Chapter 2's central finding.

```

SELECT 'Employee Cost' AS cost_driver,
    ROUND(
        (MAX(CASE WHEN fiscal_year = 'FY25' THEN employee_pct END)
        - MAX(CASE WHEN fiscal_year = 'FY21' THEN employee_pct END)) * 100.0, 0
    ) AS bps_impact
FROM cost_structure
UNION ALL
SELECT 'Material Cost',
    ROUND(
        (MAX(CASE WHEN fiscal_year = 'FY25' THEN material_pct END)
        - MAX(CASE WHEN fiscal_year = 'FY21' THEN material_pct END)) * 100.0, 0
    )
FROM cost_structure
UNION ALL
SELECT 'Other Expense',
    ROUND(
        (MAX(CASE WHEN fiscal_year = 'FY25' THEN other_expense_pct END)
        - MAX(CASE WHEN fiscal_year = 'FY21' THEN other_expense_pct END)) * 100.0, 0
    )
FROM cost_structure;

```

Query 11 — Revenue-growth contribution · SUM() OVER()

Which geography drove the most of total revenue growth across the period.

```

WITH revenue_growth AS (
    SELECT geography,
        MAX(CASE WHEN fiscal_year = 'FY25' THEN revenue END)
        - MAX(CASE WHEN fiscal_year = 'FY21' THEN revenue END) AS revenue_added
    FROM geographic_revenue
    GROUP BY geography
)
SELECT geography, revenue_added,
    ROUND(revenue_added * 100.0
        / SUM(revenue_added) OVER (), 2) AS contribution_pct
FROM revenue_growth
ORDER BY contribution_pct DESC;

```

SQL techniques demonstrated

- Window functions — LAG for year-on-year growth (Query 3), SUM() OVER() for contribution share (Query 11), RANK for cost-driver prioritisation (Query 10).
- Conditional aggregation — CASE inside aggregates to pivot long-format data into FY21-vs-FY25 comparisons (Queries 2, 5, 6, 9).
- CTEs — to stage multi-step logic readably (Queries 3, 11 and the validation gate).
- Reproducible derived tables — the analytical layer above.

Data sources

Primary dataset: Suprajit Engineering Annual Reports FY21–FY25 (consolidated financial statements, geographic revenue disclosures, MD&A, and Chairman/CEO/CFO/CSO/Board commentaries), standardised into the SQL-validated dataset described above.

Supplementary primary source: Suprajit’s Q4 FY25 results release and investor presentation (28 May 2025), including segment-level and ex-acquisition disclosures. This source is used in Chapters 3, 4, and 5 to resolve the FY25 profit anomaly. The quantitative analytical spine of this report — the SQL validation framework and the counterfactual — remains built exclusively on the FY21–FY25 annual-report dataset; the FY25 release is used only as corroborating primary-source investigation, kept deliberately separate from the core dataset.

What this framework establishes

Every conclusion in the report rests on a traceable chain: validated source data → a documented analytical layer → a specific query → a stated finding. The validation came first and gated everything after it; the metric definitions are consistent because they're defined once; and any figure in the report can be followed back to the query that produced it.

The objective throughout was not to demonstrate SQL for its own sake, but to make the analysis auditable — to show not only what was found, but exactly how, in a way a reader can check and reproduce.